

Submission ACCT1-PS2-SUB02

Question ACCT1-PS2-Q01

work / setup:

1. Dr Cash 399; Cr Service Revenue 399
2. Dr Supplies 508; Cr Accounts Payable 508

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 399/Cr Revenue 399; Dr Supplies 508/Cr A/P 508; A=L+E remains balanced plus 1

Question ACCT1-PS2-Q02

work / setup:

1. Monthly revenue= $739/6=123$
2. Dr Unearned Revenue 123; Cr Service Revenue 123

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 123; Cr Revenue 123; liability= 616 plus 1

Question ACCT1-PS2-Q03

work / setup:

1. Assets = Liabilities + Equity
2. Equity= $2177-564=1613$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity=\$1613; assets=liabilities+equity plus 1

Question ACCT1-PS2-Q04

work / setup:

1. Current ratio= $1233/1096=1.12$

crossed-out arithmetic: [smudged]

FINAL (maybe): current ratio=1.12; assets exceed liabilities if ratio>1 plus 1

Question ACCT1-PS2-Q05

work / setup:

1. Cash receipt before performance does not by itself create earned revenue.

crossed-out arithmetic: [smudged]

FINAL (maybe): record unearned revenue first; recognize revenue as performance occurs plus 1

Question ACCT1-PS2-Q06

work / setup:

1. Dr Cash 755; Cr Service Revenue 755
2. Dr Supplies 281; Cr Accounts Payable 281

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 755/Cr Revenue 755; Dr Supplies 281/Cr A/P 281; A=L+E remains balanced plus 1

Question ACCT1-PS2-Q07

work / setup:

1. Monthly revenue= $914/6=152$

2. Dr Unearned Revenue 152; Cr Service Revenue 152

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 152; Cr Revenue 152; liability=762 plus 1

Question ACCT1-PS2-Q08

work / setup:

1. Assets = Liabilities + Equity

2. Equity= $1289-473=816$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity=\$816; assets=liabilities+equity plus 1